capital contributed by proprietor. It is treated as a business expense. The purpose is to know the true profit of the business.

Adjusting entry

Particulars		L.F.	Debit ₹	Credit ₹
Interest on capital A/c	Dr.		xxx	
To Capital A/c				xxx
(Interest on capital provided)				

Transfer entry

Particulars		L.F.	Debit ₹	Credit ₹
Profit and Loss A/c	Dr.		xxx	
To Interest on capital A/c				xxx
(Interest on capital transferred)				

Presentation in final accounts

In Profit and loss A/c	Amount of interest on capital is shown on the debit side.
In Balance Sheet	Amount of interest on capital is added to capital on the liabilities side of the balance sheet.

Tutorial note

Interest on capital is calculated on the opening balance of capital if there is no change in the capital account during the accounting year. If there is any additional capital introduced or capital withdrawn, then interest on capital is to be calculated proportionately on the balance outstanding.

Example

The trial balance prepared on 31st December, 2016 shows Capital of ₹5,00,000.
Adjustment: Provide interest on capital @ 4% p.a.

Interest on capital = ₹5,00,000 × 4/100 = ₹20,000. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Interest on capital A/c	Dr.		20,000	
Dec. 31	To Capital A/c				20,000
	(Interest on capital provided)				

Transfer entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Profit and Loss A/c	Dr.		20,000	
Dec. 31	To Interest on capital A/c				20,000
	(Interest on capital transferred)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st December, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Interest on capital		20,000			

Accountancy Unit-13.indd 277 12/12/2021 6:23:06 PM